

Multiple Choice (10 marks)

1. Which of the following is equal to one?
 - (a) The elasticity of the long-run aggregate supply curve
 - (b) The spending (or expenditure) multiplier
 - (c) The investment multiplier
 - (d) The balanced budget multiplier
 - (e) The aggregate demand multiplier
2. Which of the following could cause the aggregate demand curve to shift to the left?
 - (a) An increase in government spending.
 - (b) A decrease in interest rates.
 - (c) Contractionary demand management policies.
 - (d) An increase in consumer confidence.
 - (e) An increase in the money supply.
3. In₂₀₀₄ the United States had a trade deficit of \$603 billion; therefore
 - (a) The value of the dollar increased significantly.
 - (b) The United States' GDP decreased by \$603 billion.
 - (c) The United States imported exactly \$603 billion worth of goods.
 - (d) The United States had a trade surplus.
 - (e) Americans consumed more than they produced.
4. Which of the following is true?
 - (a) Average total cost = total fixed costs plus total variable costs.
 - (b) Average total cost = total costs divided by the marginal cost of production.
 - (c) Average total cost = total variable costs divided by the number of units produced.
 - (d) Average total cost = total fixed costs divided by the number of units produced.
 - (e) Average total cost = average variable cost plus marginal cost.
5. For a given level of government spending the federal government usually experiences a budget_____during economic_____and a budget _____during economic_____.
 - (a) surplus expansion surplus expansion
 - (b) deficit recession deficit expansion
 - (c) surplus expansion deficit recession
 - (d) deficit expansion deficit recession
 - (e) surplus expansion surplus recession

True / False (10 marks)

Answer True or False

6. True or False: For bi-directional feedback in a VAR model, the b and d coefficients must be significant.
7. True or False: A stronger stock market is likely to increase both the consumption function and aggregate demand.
8. True or False: The spending multiplier effect is diminished when the price level rises due to an increase in aggregate demand.
9. True or False: A decrease in the price of a particular product will result in a decrease in the quantity demanded for that product.
10. True or False: Saving is equal to zero when consumption equals disposable income in a private closed economy.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the theoretical implications of a bank acquiring an additional \$1 in deposits in a system without a required reserve ratio, including the potential effects on the money supply.
12. Discuss the impact of trade between an industrial country with abundant capital and a rural country with abundant land on the prices of these resources in both nations.

End of Paper